Fiscal News and the Macroeconomy:

Evidence from UK Budget Announcements

Wolfe Research 9th Annual European Investment Conference

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Motivation

Truss-Kwarteng Mini Budget meltdown:

- tax cuts and large, uncertain energy subsidy exposure
- strong and persistent repricing of British assets: gilts, stocks, GBP
- less consistent with Mundell-Flemming open economy model(s)
- more like markets move on expected BOE tightening / monetisation fears

Clear financial impact of news shocks, what about the macroeconomy?

- gilt yields, stocks, exchange rate, expected inflation, (...)
- $\Rightarrow$ spending and activity?

Research Question

How does fiscal news affect the macroeconomy? ... and through which channels?

Preview of results for a positive fiscal news shock:

- a market-assessed deterioration in fiscal sustainability is stagflationary
- output and investment contract persistently
- Sterling depreciates on impact
- consumer price inflation rises in the near term.
- worrying, action looks sunspotty/self-fulfilling

Measuring Fiscal News

Gilt Yields

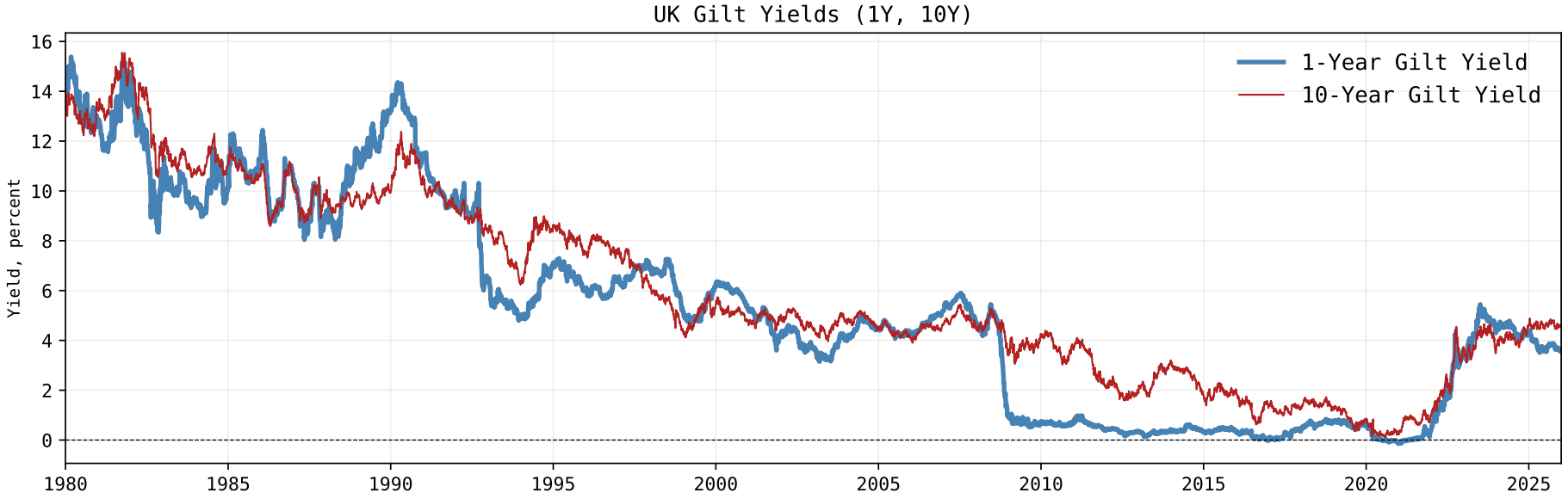

Figure 1: Daily Gilt Yields (y1y and y10y) 1980-2026

Identifying Fiscal News: The High Frequency Approach

We use the **high frequency surprises** approach of the MP lit:

- extract market jumps on announcement days

$$s_d^m = \begin{cases} (\text{Yield}_{d,\tau+\Delta}^m - \text{Yield}_{d,\tau}^m) & \textit{on Budget days} \\ 0 & \textit{otherwise} \end{cases} \tag{1}$$

- Fiscal News Surprise: jump in yields, in window $[0, +\Delta]$ around time τ on day d
- **Tradeoff**: A small window rules out confounding macro news, but might miss slow market learning
- Baseline uses **daily changes** (EOP) / **drop** any Fed,ECB,BOE(97) MP days

Which Maturity?

- Our baseline estimation using the 3Y gilt yield,
- robustness checks: 1Y, or First PC of (1,3,5,10)

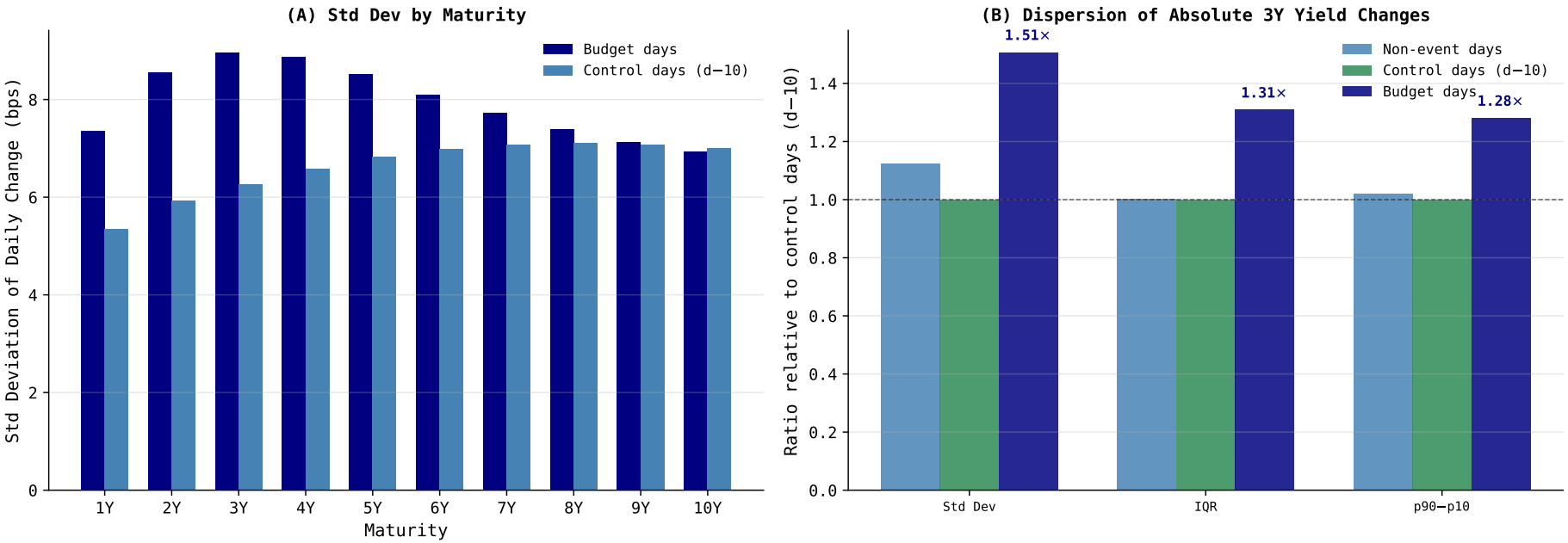

Figure 2: Variation on Event days versus Control or Other days

The Fiscal Surprises

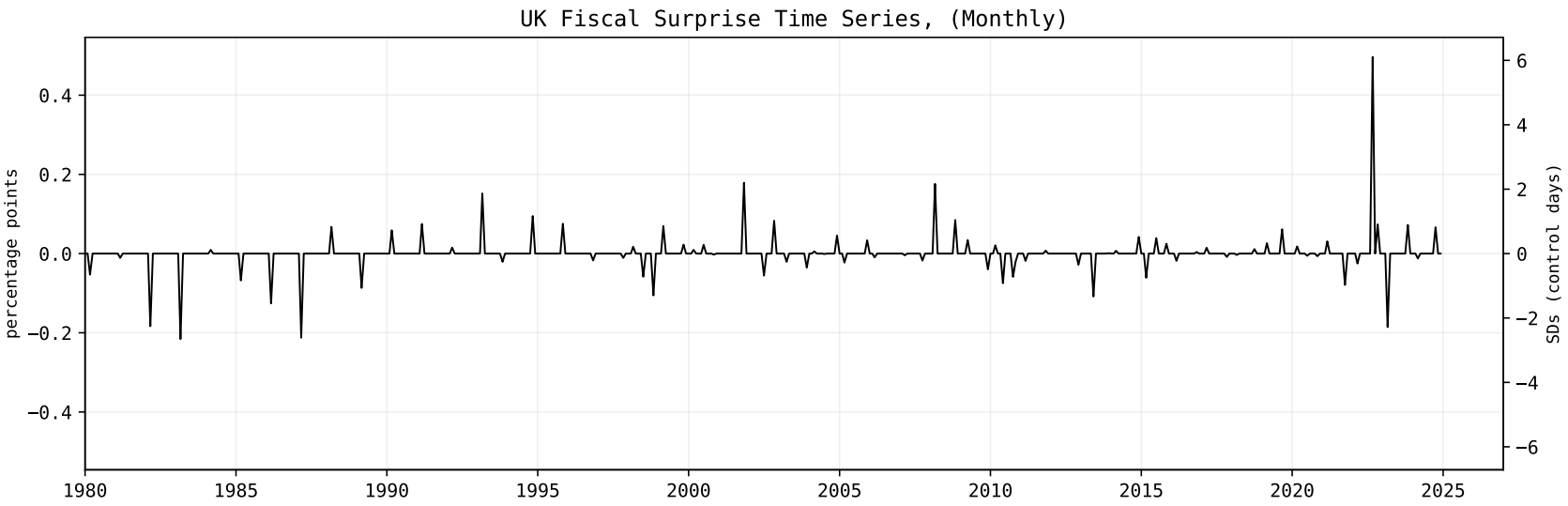

Figure 3: Fiscal Surprises (3y Gilt yields)

- **Surprises to Shocks**: need to filter any predictable component in surprises
- FWL/partial regression: can run 2-stages in 1 regression
- Shocks are pinned down by inclusion of macro controls
- Aggregation across frequencies: summed

Macroeconomic Transmission: Local Projections

Empirical Framework: Local Projections

daily regressions: $\forall h = 0, 1, 2, ..., H = 100$

$$Y_{d+h} - Y_{d-1} = \alpha_h \cdot s_d + \mathbf{W}'_{d-1}\Omega_h + \mu_{dw(t)} + \mu_{wy(t)} + e_{t+h}; \tag{2}$$

- controls: (1Y, 10Y yields, FX rate, seasonality fixed effects)
- sequence $\{\alpha_h\}$ traces the dynamic response after a surprise

Baseline Sample Period

We use the sample from **1980-2019** for three reasons:

1. earliest starting date with good data coverage
2. avoid pandemic complications 2020/21
3. Need special treatment of Truss-Kwarteng shock, extreme outlier (6SD event)

Can decompose the IRF into weighted average of subsequences:

$$\hat{\beta}^h = \frac{\sum_{t\in\mathcal{E}} s_t \cdot (Y_{t+h} - Y_{t-1})}{\sum_{t\in\mathcal{E}} s_t^2} = \frac{\sum_{t\in\mathcal{E}} s_t \cdot (\beta_t^h)}{\sum_{t\in\mathcal{E}} s_t^2} = \sum_{t\in\mathcal{E}} w_t \cdot \beta_t^h \tag{3}$$

- Truss-Kwarteng shock puts massive weight on a single run of data
- Ragged-Edge Problem: 2022 doesn't have a full sequence so IRF is jumpy
- Robustness (a): better aggregation 1980-2026 with excluded windows
- Robustness (b): build alternative weights for extreme shocks

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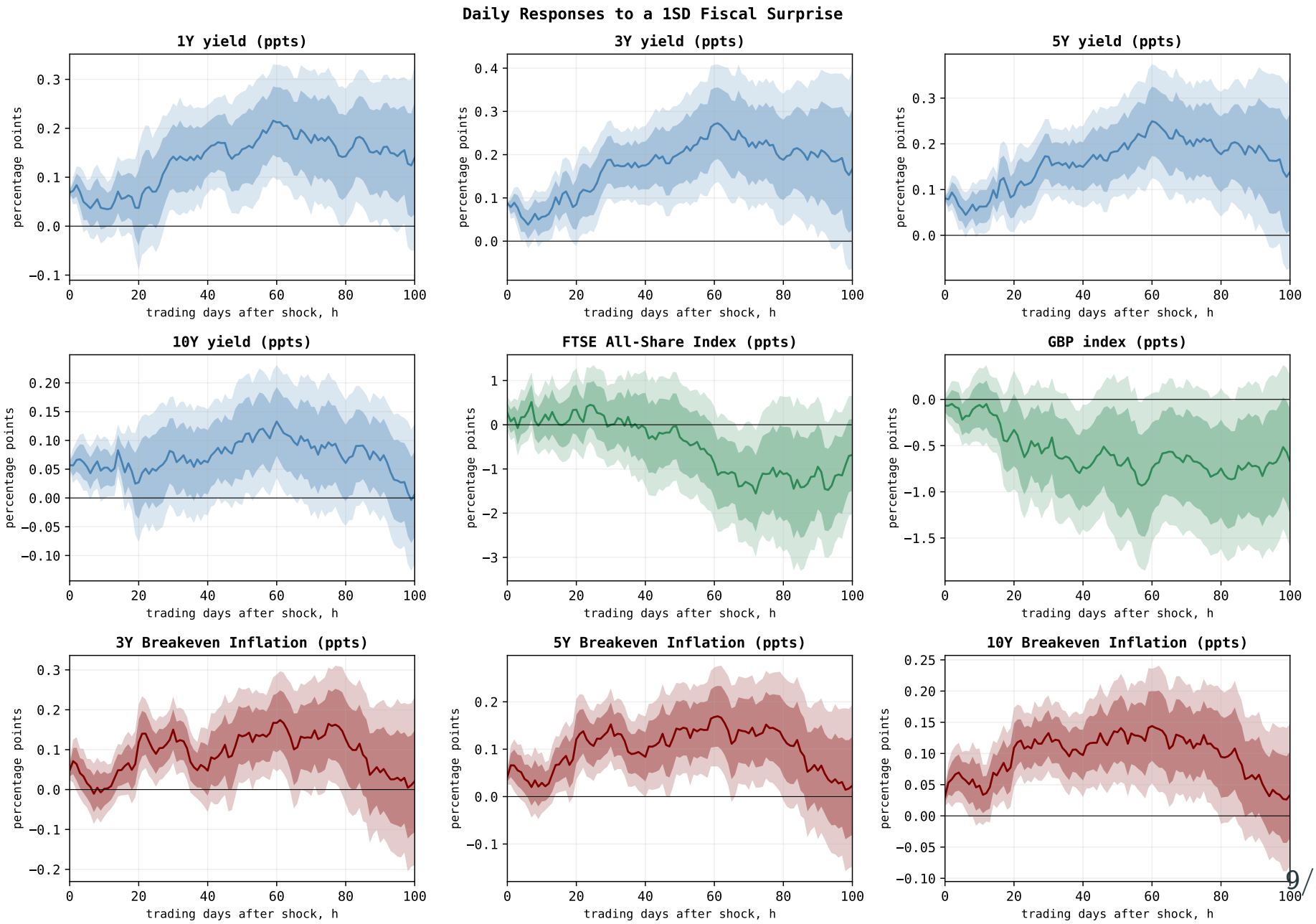
Financial Market Response: Daily Local Projections



Empirical Framework: Local Projections

monthly/quarterly:

$$Y_{t+h} - Y_{t-1} = \beta_h \cdot s_t + \mathbf{X}'_{t-1}\Omega_h + \mu_{m(t)} + u_{t+h}; \tag{4}$$

controls, 1 year lags: {outcome, output growth, inflation, unemployment, y1y}

Macroeconomic Transmission: Monthly Local Projections

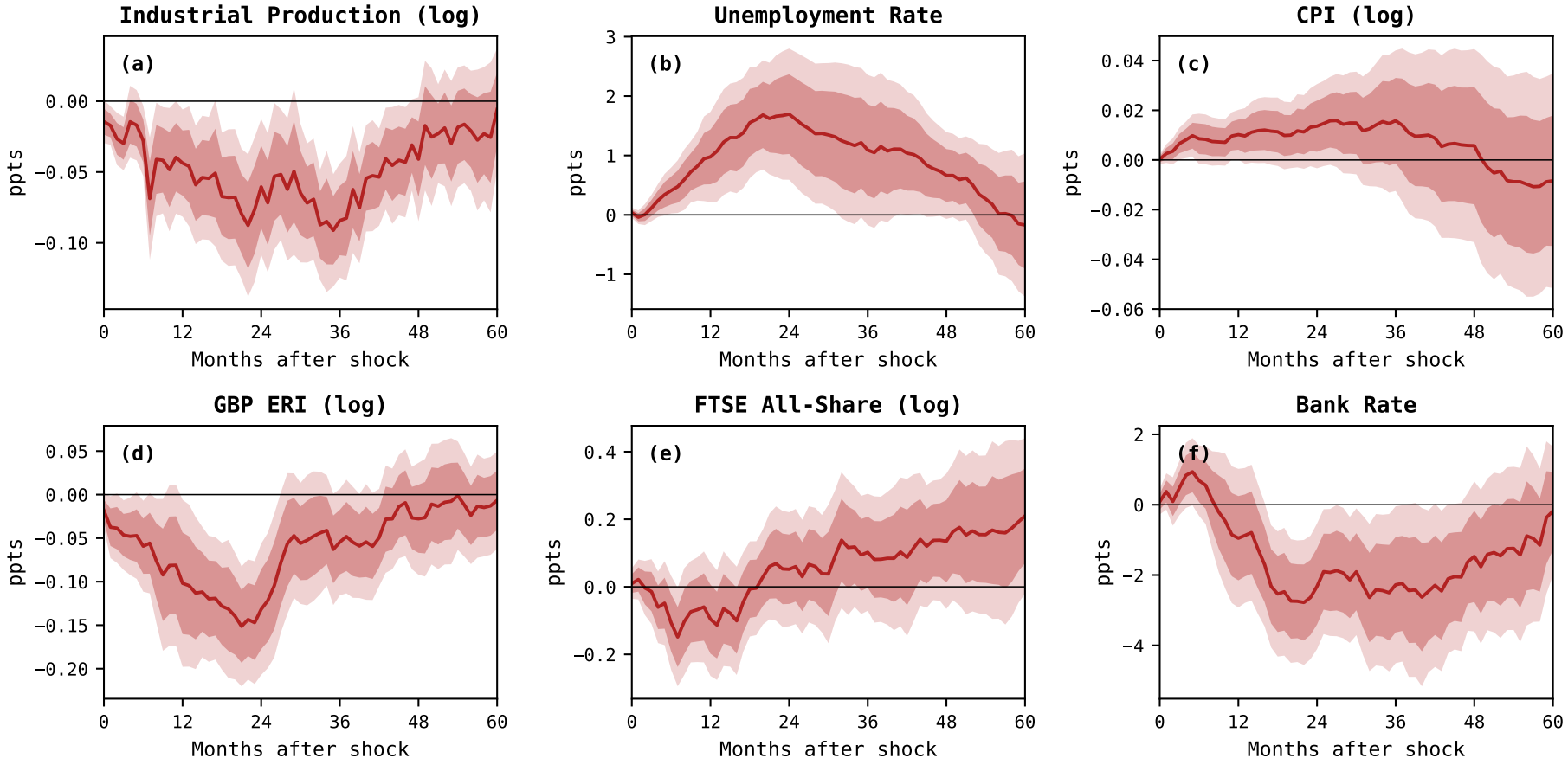
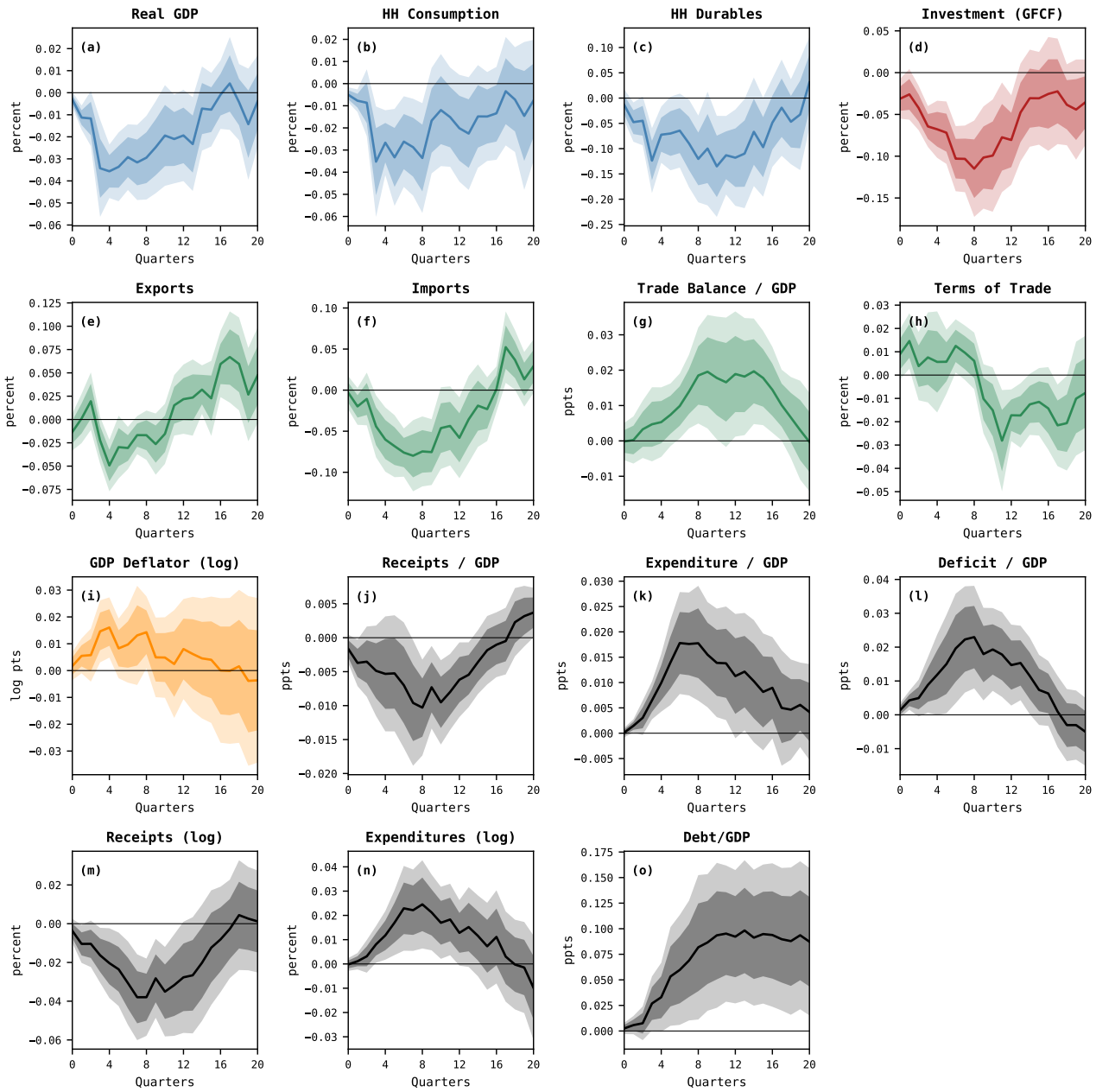


Figure 5: Monthly IRFs to a Fiscal News Shock, **scale: 25 bpts in 1Y yield in first month**. Shaded bands = 90% CI.

Macroeconomic Transmission: Quarterly Local Projections



Transmission Channels

Channels at play

1) Financial conditions (standard IS-curve/User Cost):

- higher yields feed mechanically into higher borrowing rates for HH and firms, depress output in standard way

2) FX rates and imported inflation

- CPI response is driven entirely by goods (typically imported) versus services (mc driven by wages)

3) Fiscal Risk / Monetisation Fears

- breakeven inflation increases along inflation curve, not just the short-end.
- A pure FX story with no fiscal risk would only show up at the very short maturities

4) OBR revision / Government Information Channel

- Concurrent OBR projections might reveal new information
- OBR revisions NOT consistent with information effects

Imported Inflation Channel

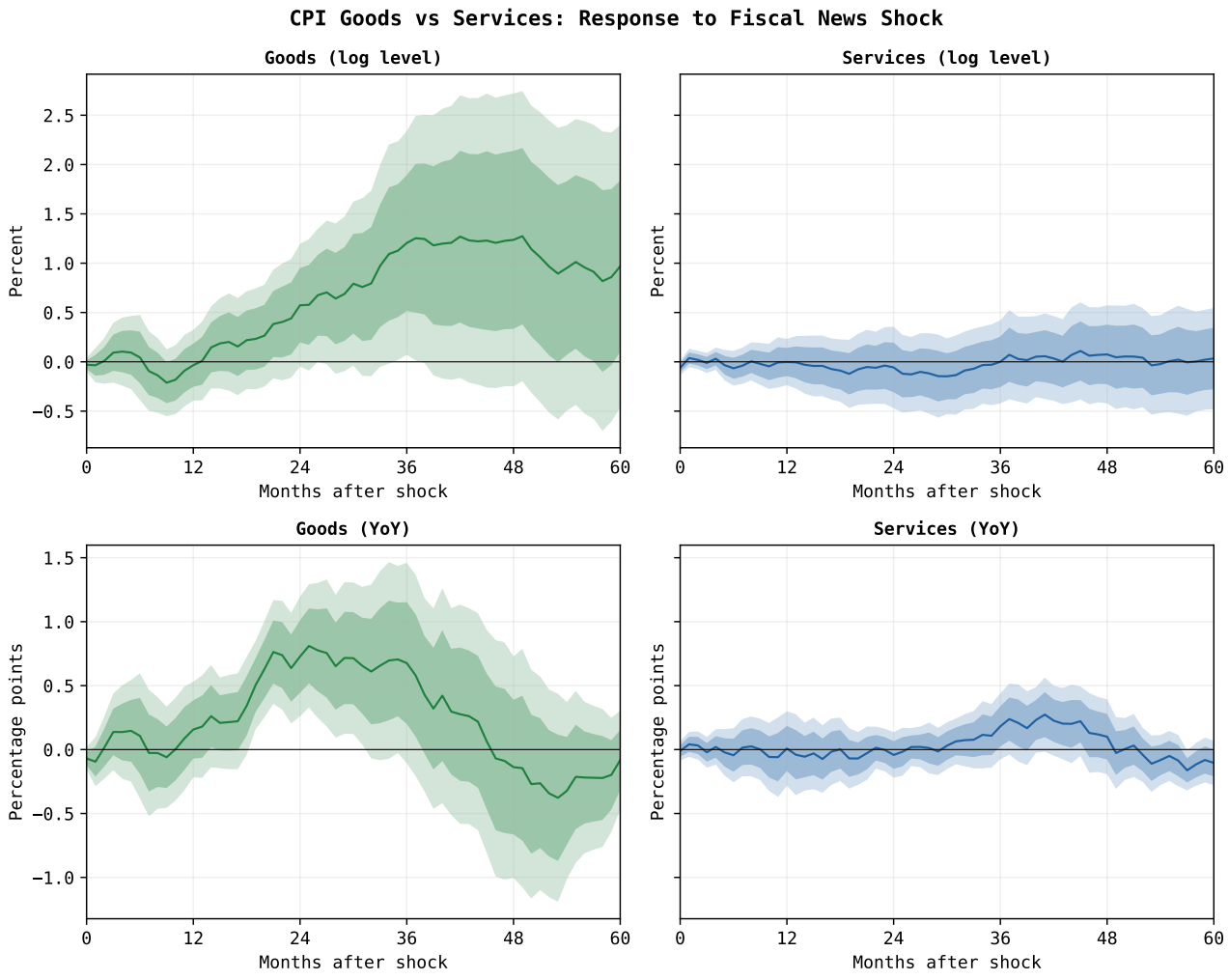


Figure 7: IRFs of CPI goods and services to a Fiscal News Shock

Gov. Info. Channel: OBR Forecast Revisions

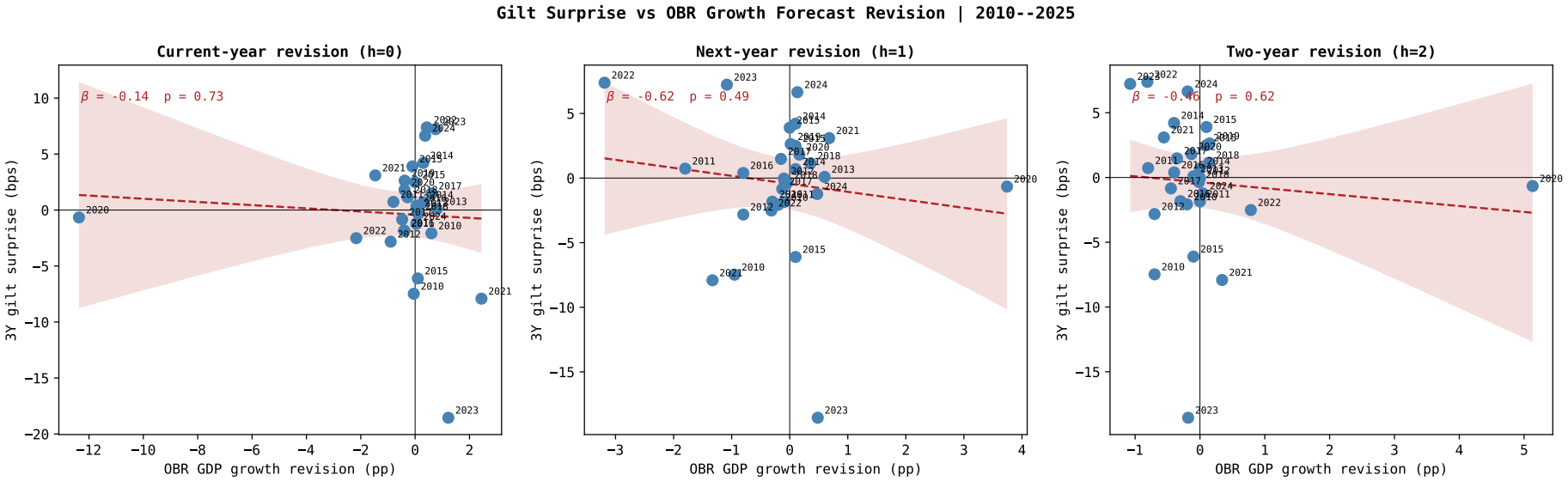


Figure 8: Scatterplots of OBR GDP growth revision vs Fiscal Surprise

Closing

Robustness Checks

1. Extend Sample Period (1980-2026)
2. Down-Weighting Extremes (80-26)
3. Excluding ERM
4. Alt surprise - y1y
5. Alt surprise - PC1
6. Sign restricting surprises (e.g. yields up/stocks down)
7. (MAR event sequence AR(e-1))
8. (Excluding Mini Budget)

Spin-offs and Future Agenda

Extra results moved to second paper (in progress)

- All results on **non linear transmission** (sign dependence, state dependence, time-varying-parameters, monetary activism etc) bundled into separate paper
- mapping between **market reactions and textual content of Budgets**
- High-frequency outcomes: **credit card data, job posting**

Future:

- **Parties, Politicians,** learning effects (first time etc)
- **Indentification** bayesian aggregation over alternative specifications (model uncertainty)

Conclusions

In the paper we show our baseline results are robust to various sample windows, alternative estimators, shock definitions, and identification schemes

Takeaways:

1. **Fiscal announcements move the macroeconomy.** GDP falls $\sim$4% at peak to a large FN shock (4–8 quarters); investment responds $\sim$2$\times$ more than GDP.

2. **Evidence of interest rate, Fx rate and fiscal risk channels**

3. **Government information channel NOT at play**, at least through OBR revisions

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Robustness Checks

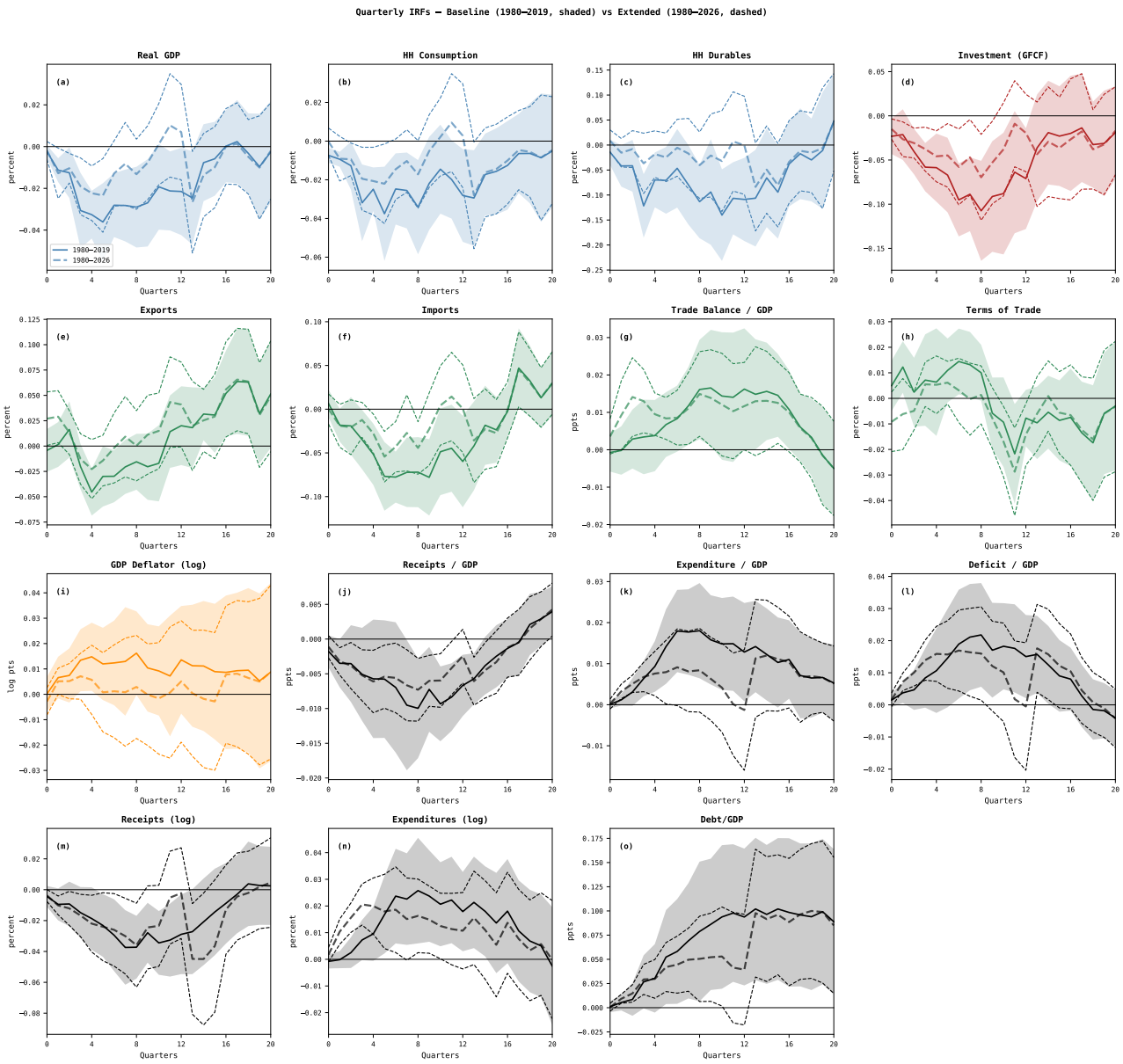

Figure 9: Extended Sample: 1980-2026 [back]

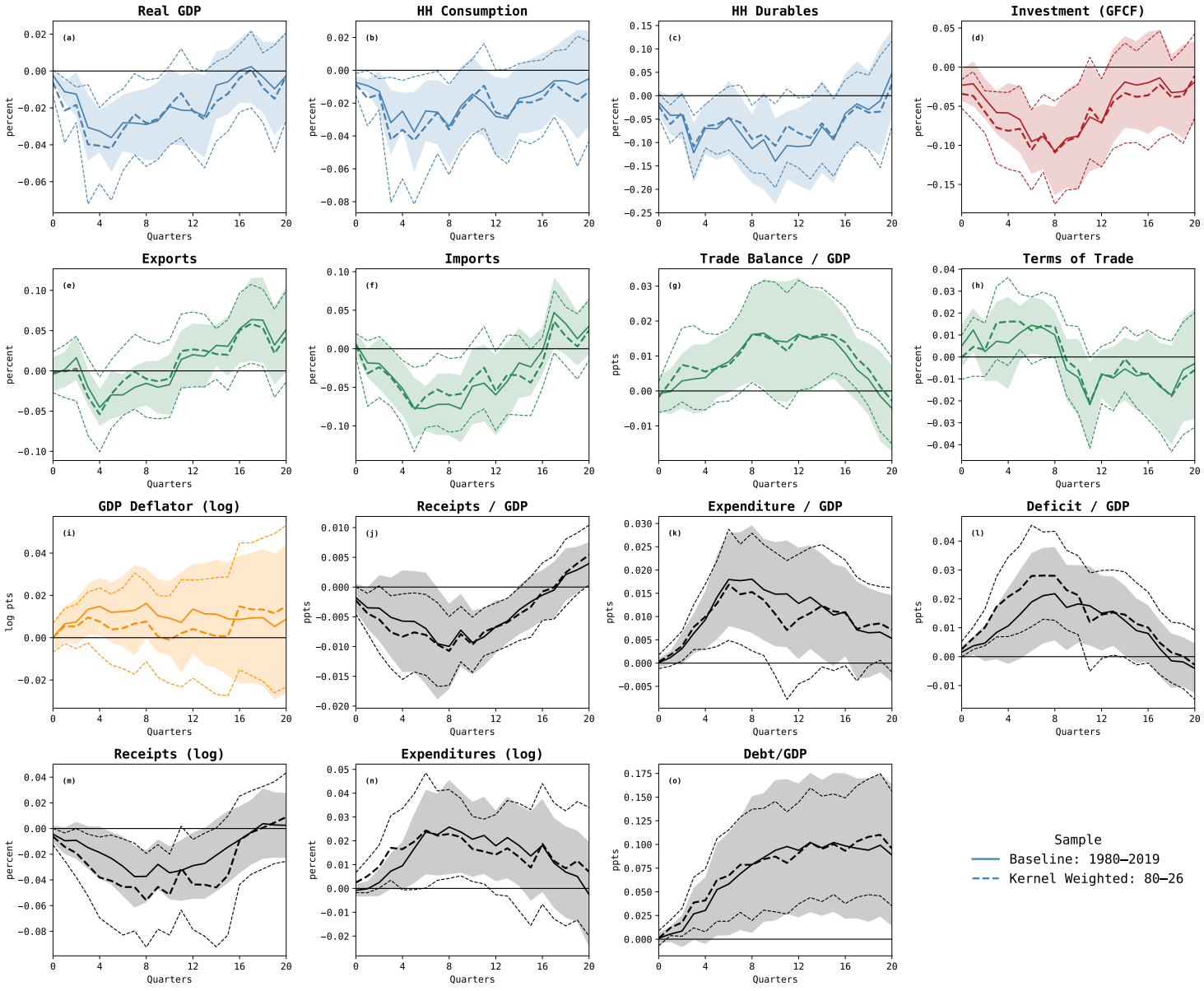

Figure 10: Gaussian Kernel: 1980-2026 [back]

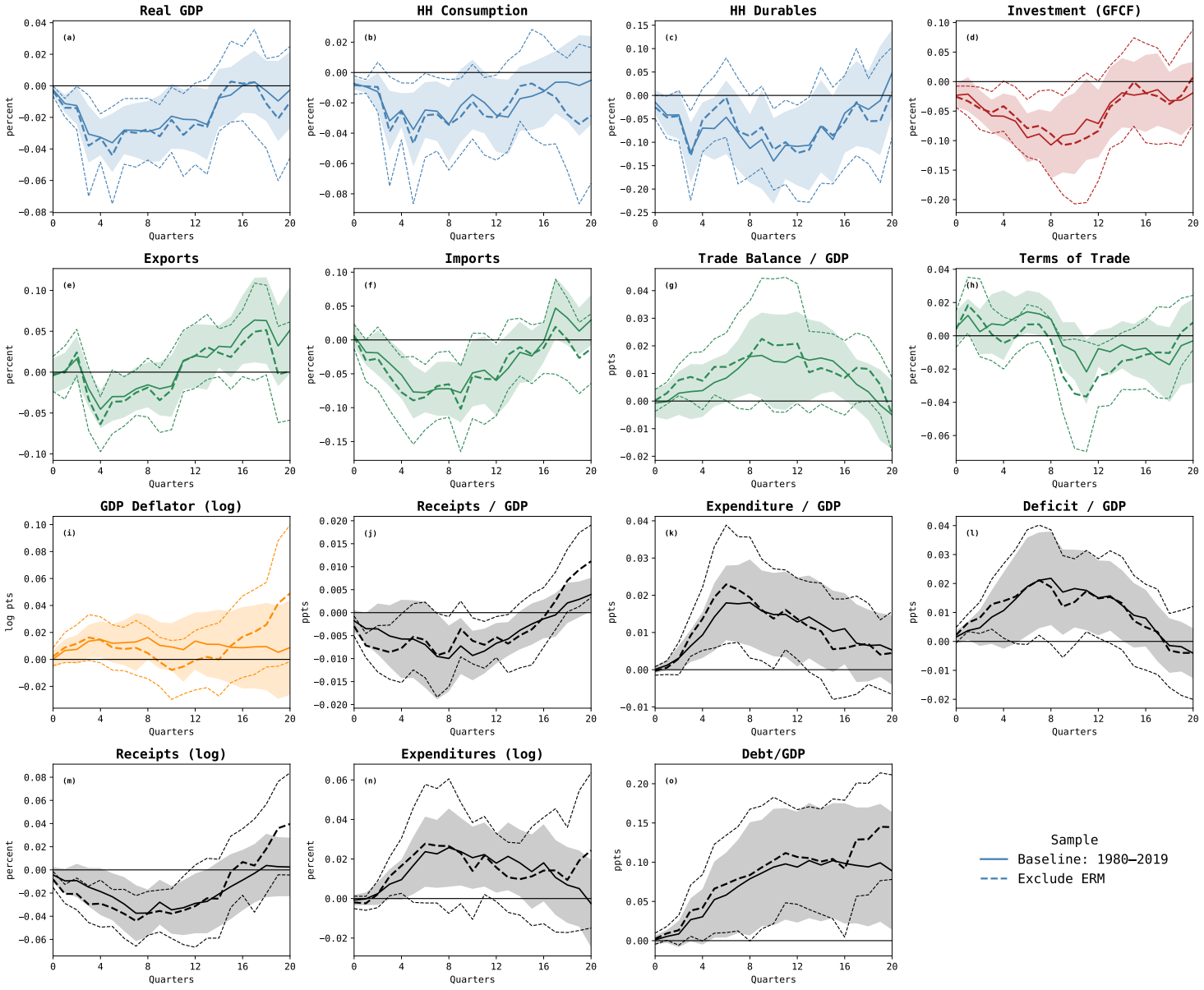

Figure 11: 1980-2026 ex ERM [back]

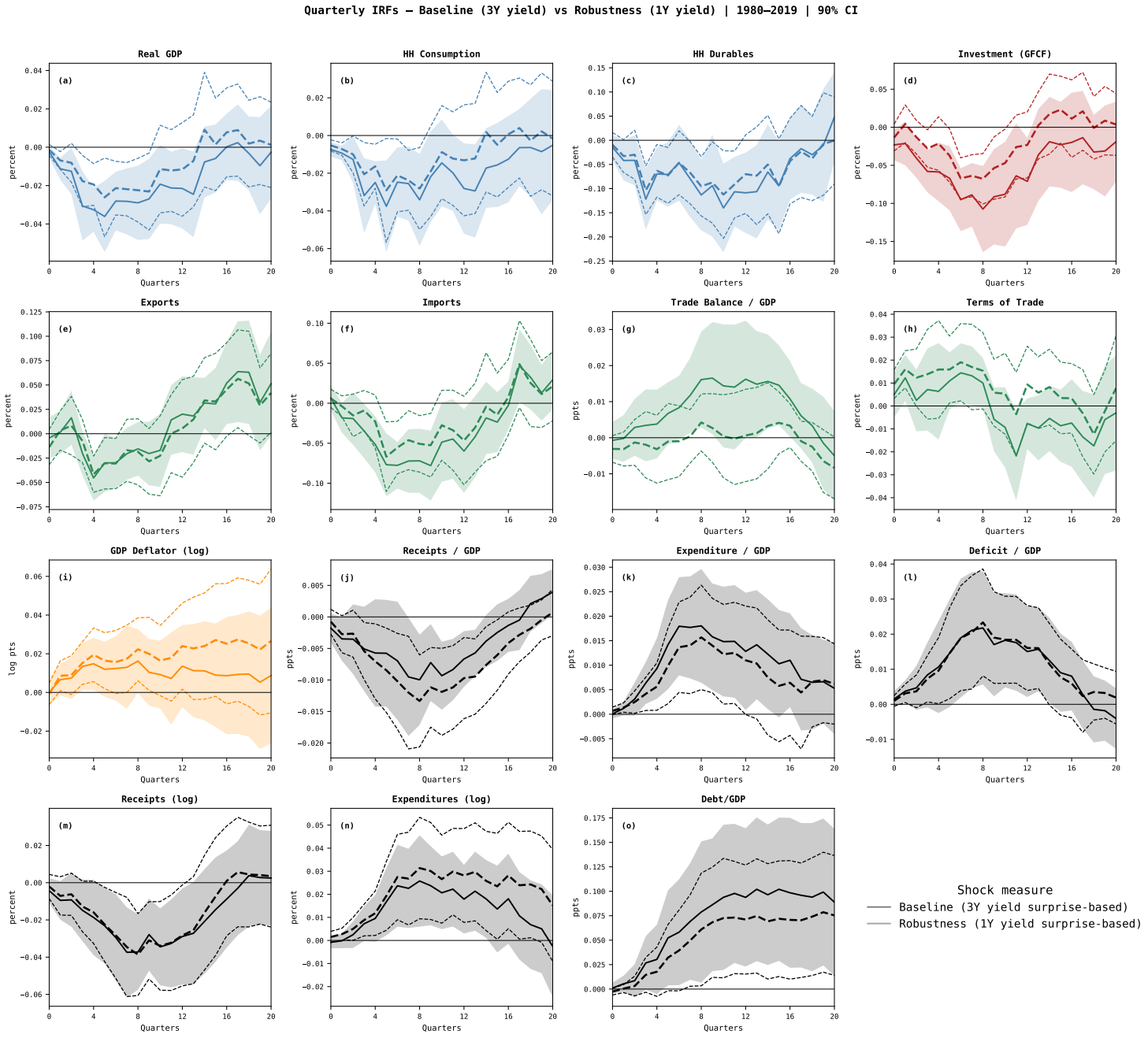

Figure 12: y1y surprises [back]

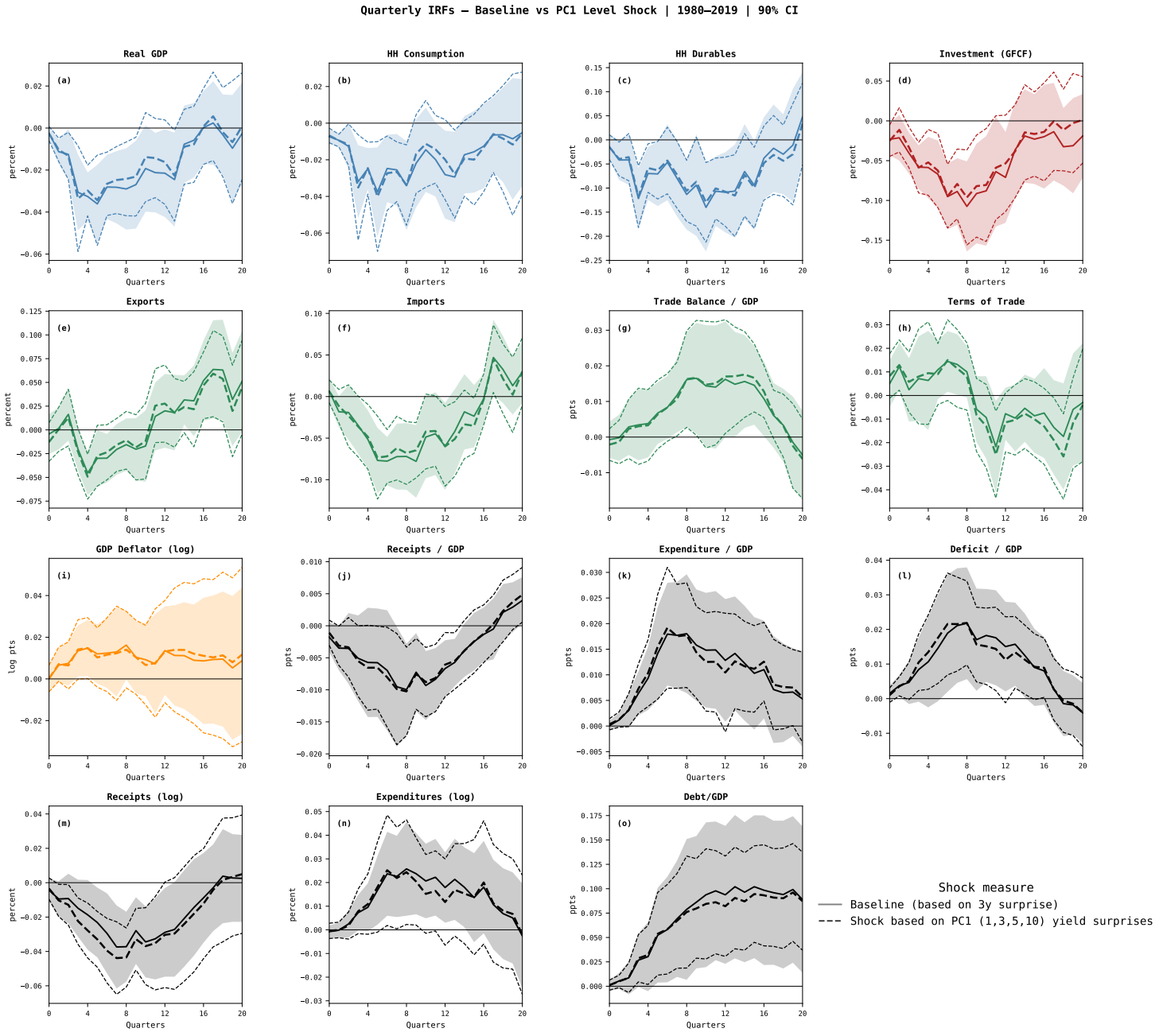

Figure 13: First Principal Component surprises [back]

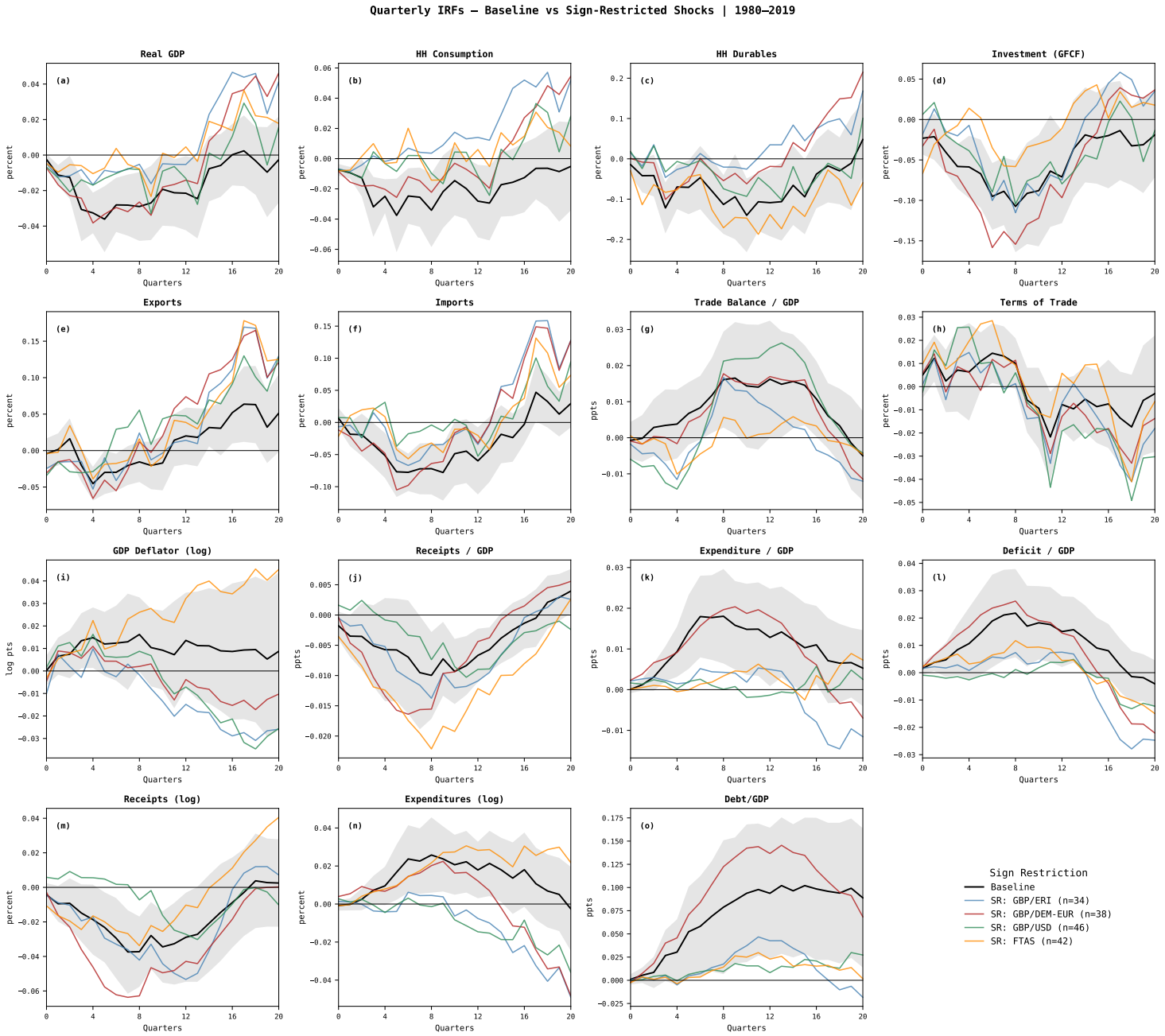

Figure 14: sign-restricted surprises: $(\Delta y3y \times \Delta z) < 0$; z = (ERI, EUR, USD, FTAS) [back]